

Indian Startup Funding Analysis

Business Problem Document

1. Business Context

India's startup ecosystem raised billions of dollars in funding between 2015 and 2020, across thousands of deals spanning sectors from e-commerce to fintech to logistics. For investors evaluating where to deploy capital next, raw funding totals are misleading on their own: a sector can look like a top performer in a given year purely because of one or two outsized mega-rounds, not because of broad, repeatable investor confidence.

2. Business Problem

A seed-stage VC fund is designing its investment thesis for the coming year and needs to answer three practical questions before allocating capital:

- Which sectors show **sustained** funding momentum across multiple years, versus sectors whose apparent lead is driven by one-off mega-rounds?
- Where is funding activity **broad** (many deals) versus **concentrated** (few large deals) — and what does that imply about competition for a new entrant?
- Which city / sector combinations show high deal activity but comparatively low total capital, suggesting overlooked opportunity relative to more saturated hubs?

3. Why This Matters

Mistaking a mega-round spike for sector-wide momentum can lead a fund to enter a sector just as it cools off, or to overlook a sector with steady, broad-based growth that never produced a single headline-grabbing deal. Distinguishing the two is a core part of thesis-building, and it is exactly the kind of ambiguity that raw funding totals alone cannot resolve.

4. Approach

- **Data cleaning (Python / pandas):** Standardize a messy, real-world funding dataset — inconsistent sector/stage labels, Indian-style comma-formatted currency values, malformed dates, and undisclosed-amount placeholders.
- **Business analysis (SQL):** Answer the questions above using aggregation and window functions — sector ranking by year, deal count vs. total funding by sector, and city/sector cross-tabulation.
- **Visualization (Power BI):** Build an interactive dashboard that lets a VC associate filter by year and sector to distinguish sustained momentum from mega-round spikes at a glance.

5. Success Criteria

The final deliverable should let a non-technical stakeholder identify, within seconds, (a) which sectors have shown up in the top 3 by funding in multiple consecutive years, (b) which sectors are deal-count leaders but not funding leaders (or vice versa), and (c) at least one city/sector combination worth a closer look that would not be obvious from headline funding totals alone.

6. Scope & Limitations

This analysis covers 3,044 funding deals from 2015-2020, with ~86% of records concentrated in 2015-2017; 2018-2020 has notably sparser records, likely reflecting gaps in how the source data was compiled rather than an actual funding slowdown, so year-over-year comparisons across that boundary are treated with caution. ~32% of deals have no disclosed funding amount and are excluded from amount-based aggregations. Sector labels are standardized for major categories only; a long tail of ~800 niche, one-off descriptions is preserved rather than force-merged, to avoid misclassifying genuinely different businesses.